

ACCTG 211H — Mechanics Drill Set

Week 9 — Bonds, Leases, and Covenant Slack

i Graded for **completion**. Work each drill by hand, then check the answer key (posted separately) and re-do any you missed before the quiz.

Drill Set

Quick, single-skill reps to build mechanical fluency before the week's first class. Graded for **completion** — work each one by hand, then check it against the key that follows and re-do any you missed. Round dollar amounts to the nearest dollar; small differences from rounding present-value factors are acceptable.

1. (*Premium or discount?*) A bond carries a 6% coupon and is issued when the market rate is 8%. Will it sell at a premium, a discount, or par? Over the bond's life, will interest expense be greater than, less than, or equal to the cash coupon?
2. (*Issue price.*) Compute the issue price of a three-year, \$100,000 bond with a 6% annual coupon when the market rate is 8%. Use annual compounding.
3. (*Effective-interest amortization.*) The bond in Drill 2 is issued at \$94,846. Under the effective-interest method, compute year-1 interest expense, the discount amortized, and the carrying value at the end of year 1.
4. (*Issuance entry.*) Record the journal entry to issue the bond in Drill 2 (use the gross method, with a separate discount account).
5. (*Bond at par.*) A \$200,000 bond with a 5% annual coupon is issued at par. Record (a) the issuance entry and (b) the first annual interest-payment entry.
6. (*Lease liability.*) A four-year lease requires payments of \$10,000 at the end of each year; the discount rate is 6%. Compute the initial lease liability (equal to the right-of-use asset).
7. (*Lease classification.*) State whether each indicates a **finance** lease under ASC 842: (a) ownership transfers to the lessee at the end of the term; (b) the lease term is nine months with no purchase option; (c) the term covers 90% of the asset's economic life; (d) the present value of payments is 97% of the asset's fair value.
8. (*Interest-coverage covenant.*) A firm has EBIT of \$4,800,000 and interest expense of \$1,200,000. A covenant requires interest coverage of at least 3.0×. Compute the ratio and the covenant slack.

9. (*Debt-to-EBITDA covenant.*) A firm has total debt of \$90 million and EBITDA of \$30 million. A covenant caps debt-to-EBITDA at $3.5\times$. Compute the ratio and state whether the covenant is satisfied.